



Weekly Market Note
August 14th, 2026

Economic Data & Markets Summary

Index	Asset Class	MTD	YTD
MSCI World	Equity	3.32%	13.85%
MSCI Asia Pacific	Equity	2.37%	18.51%
MSCI Europe	Equity	2.17%	12.26%
MSCI China	Equity	1.12%	-6.10%
Bloomberg Barclays Global Aggregate Index	Fixed Income	0.67%	-0.06%
Bloomberg Commodities Index	Commodities	-0.24%	20.23%
HFRX Global	Hedge Fund	0.82%	4.43%
HFRX Macro/CTA	Hedge Fund	0.83%	4.93%
HFRX Equity Hedge	Hedge Fund	1.69%	8.07%

*Index data as of August 7, 2026

Global Markets & Economic Data:

Weak US payrolls and benign inflation data are supporting continued buying of equities.

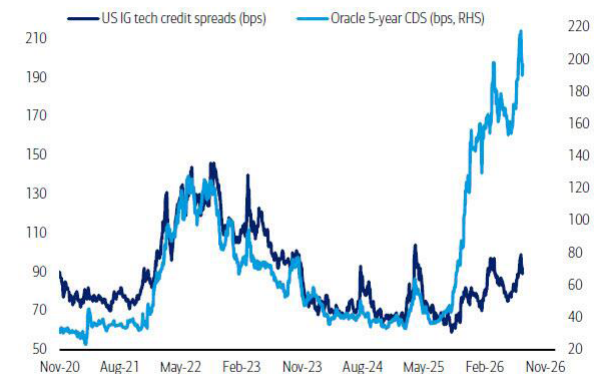
US: Existing Home Sales fell by 1.4% m/m, but house prices remain strong, up 2% y/y. Consumer and producer inflation figures were in-line with estimates, providing encouragement that an interest rate hike is not needed.

Switzerland/EU/UK: Swiss Consumer Confidence remained deeply negative with the last positive reading registered in 2022. Euro Area Industrial Production was unchanged m/m in June. UK Q2 GDP growth was 1.2% y/y.

Japan/China: Japan's current account swung to a surprise deficit in June. Chinese inflation was below forecast rising by only 0.5% y/y in July.

AI becoming a credit story

Chart 3: Spreads/CDS of AI hyperscalers still elevated
US IG tech credit spreads vs Oracle 5-year CDS



Source: BofA Global Investment Strategy, Bloomberg

BofA GLOBAL RESEARCH

- Manias become more susceptible to systemic risk when they move from the equity to credit side of the ledger. As the AI capex buildout continues, the stakes become much higher for the capital deployed to generate sufficient value.
- Mega-cap tech companies were once viewed as rock-solid credits given their minuscule capital demands and abundant free cash flows. Everything has changed in the past 12 months as tech-related AI-tagged debt is now making up roughly 15% of the US investment grade market.
- In H1 2026 Amazon, Alphabet, Meta and Oracle issued \$195 billion of debt and increasingly hyperscalers are issuing EUR, GBP and CHF paper to find more liquidity.
- Technical supply pressure has forced hyperscaler bond spreads higher as jumbo issuances continue to surprise the market and reprice existing paper wider leading Oracle's CDS to hit a 7-year high. Additionally, demand fatigue is rapidly setting in as average book-building cover ratios fall from 5x in February to below 2x presently.

Market Spotlight: July Market Recap

Exhibit 2: World stock market returns

2017	2018	2019	2020	2021	2022	2023	2024	2025	YTD	Jul '26
MSCI Asia ex-Japan 42.1%	US S&P 500 -4.4%	US S&P 500 31.5%	MSCI Asia ex-Japan 25.4%	US S&P 500 28.7%	UK FTSE All-Share 0.3%	Japan TOPIX 28.3%	US S&P 500 25.0%	MSCI EM 34.4%	MSCI Asia ex-Japan 22.3%	UK FTSE All-Share 3.7%
MSCI EM 37.8%	UK FTSE All-Share -9.5%	MSCI Europe ex-UK 27.5%	MSCI EM 18.7%	MSCI Europe ex-UK 24.4%	Japan TOPIX -2.5%	US S&P 500 26.3%	Japan TOPIX 20.5%	MSCI Asia ex-Japan 33.0%	MSCI EM 20.3%	Japan TOPIX 0.2%
Japan TOPIX 22.2%	MSCI Europe ex-UK -10.6%	UK FTSE All-Share 19.2%	US S&P 500 18.4%	UK FTSE All-Share 18.3%	MSCI Europe ex-UK -12.2%	MSCI Europe ex-UK 17.3%	MSCI Asia ex-Japan 12.5%	Japan TOPIX 25.5%	Japan TOPIX 18.8%	MSCI Europe ex-UK 0.1%
US S&P 500 21.8%	MSCI Asia ex-Japan -14.1%	MSCI EM 18.9%	Japan TOPIX 7.4%	Japan TOPIX 12.7%	US S&P 500 -18.1%	MSCI EM 10.3%	UK FTSE All-Share 9.5%	UK FTSE All-Share 24.0%	MSCI Europe ex-UK 11.8%	US S&P 500 -0.1%
MSCI Europe ex-UK 14.5%	MSCI EM -14.2%	MSCI Asia ex-Japan 18.5%	MSCI Europe ex-UK 2.1%	MSCI EM -2.2%	MSCI Asia ex-Japan -19.4%	UK FTSE All-Share 7.9%	MSCI Europe ex-UK 8.1%	MSCI Europe ex-UK 20.1%	UK FTSE All-Share 11.2%	MSCI EM -3.0%
UK FTSE All-Share 13.1%	Japan TOPIX -16.0%	Japan TOPIX 18.1%	UK FTSE All-Share -9.8%	MSCI Asia ex-Japan -4.5%	MSCI EM -19.7%	MSCI Asia ex-Japan 6.3%	MSCI EM 8.1%	US S&P 500 17.9%	US S&P 500 10.1%	MSCI Asia ex-Japan -3.2%

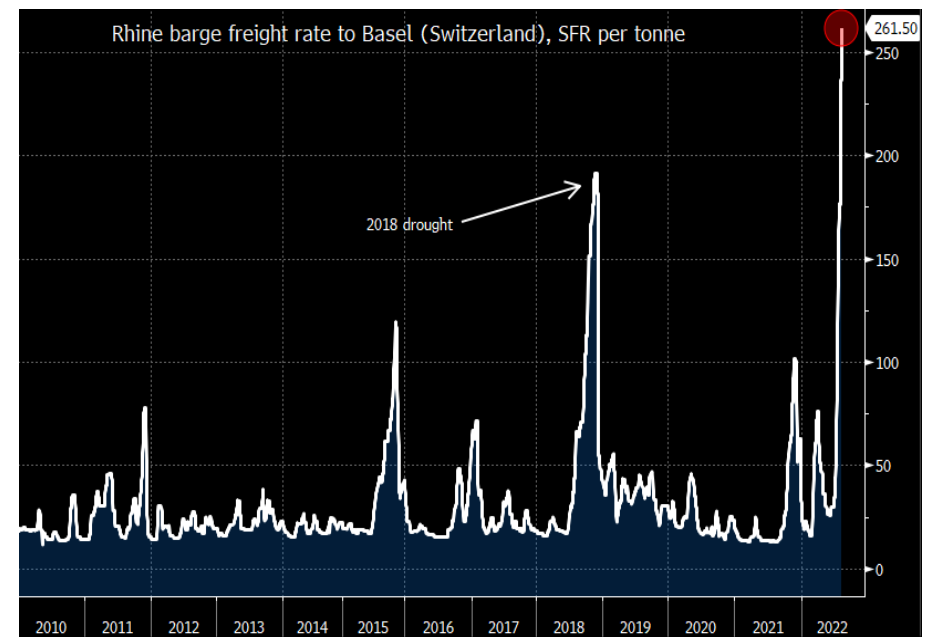
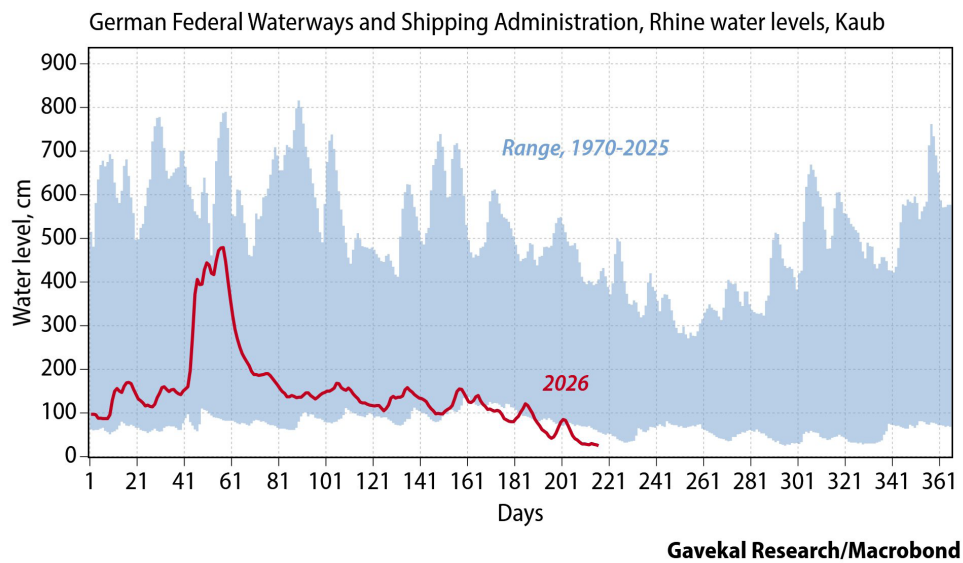
Source: FTSE, LSEG Datastream, MSCI, S&P Global, TOPIX, J.P. Morgan Asset Management. All indices are total return in local currency, except for MSCI Asia ex-Japan and MSCI EM, which are in US dollars. Past performance is not a reliable indicator of current and future results. Data as of 31 July 2026.

- *MSCI Asia ex-Japan and the MSCI EM index were both weighed down by the selloff in Korean tech.*
- *The S&P 500 was flat, which demonstrates the resiliency of US equities in the wake of the AI selloff and collapse of the Iran ceasefire.*
- Global equities represented by the MSCI World were marginally positive during a volatile month. US equities were mixed as tech stocks dragged down the Nasdaq, which lost 3.2% while the Dow gained 0.4%.
- Value stocks significantly outperformed growth stocks as the Philly Semiconductor Index lost 20%, its largest monthly decline since 2008.
- Some leading international equity indices were the UK FTSE and Japan's TOPIX, both benefitting from having greater concentration in leading July sectors like industrials and financials. Meanwhile, fixed income represented by the Bloomberg Barclays Aggregate index was down due to rising US Treasury Yields with the 10-year yield rising by 30bps to hit 4.75%, the highest level in 18 months. Yields moved higher in the wake of a hawkish FOMC meeting.
- Commodities were a positive performer during the month fueled by a 30% spike in Brent crude prices in the wake of a collapsed US-Iran ceasefire and ongoing closure of the Strait of Hormuz.
- In FX, the US dollar was rangebound in aggregate, but a big Japanese yen intervention on July 31st sent the JPY rallying 3% against the US dollar back to the psychological 160 level.

Market Spotlight: Rhine Water Levels

- Commodity traders, economists and stock pickers now have a dynamic climate-related variable in their European models.
- The Rhine River has hit a record low of just 28 centimeters, severely disrupting barge traffic across central Europe and restricting the transport of petroleum products and other critical commodities due to draft limitations
- Skyrocketing Freight Costs:** Barge freight rates have surged to all-time highs as low water levels force barges to carry significantly reduced cargo loads.
- Energy Generation Threatened:** Multiple European rivers including the Danube are experiencing dangerously low water levels, which is curtailing nuclear power generation by limiting available cooling water, forcing Europe to rely more heavily on natural gas power at a time when inventories are already seasonally depleted.
- Compounding Supply Pressures:** The combination of low gasoil inventories at the ARA hub and disrupted product flows threatens to create product backups at refineries and storage facilities, exacerbating Europe's energy supply vulnerabilities.

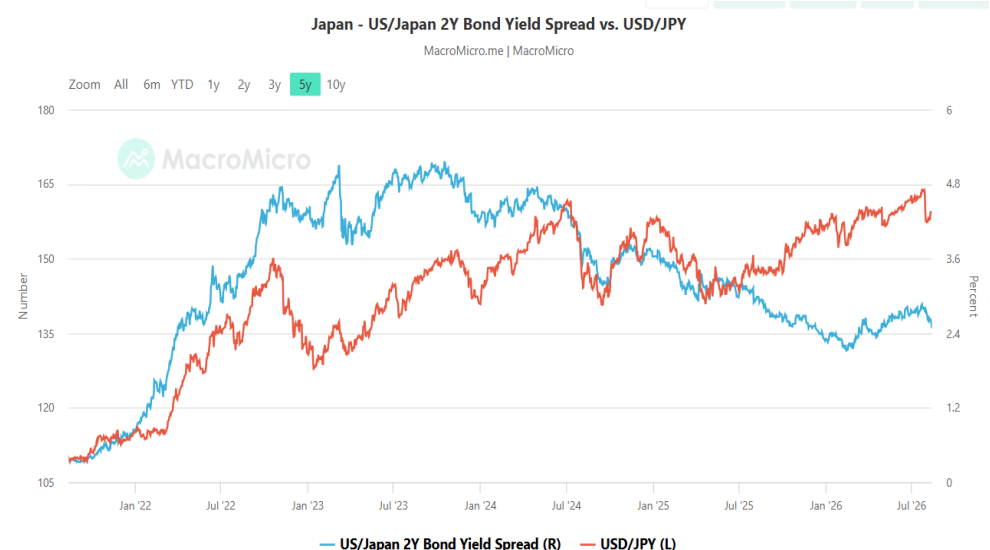
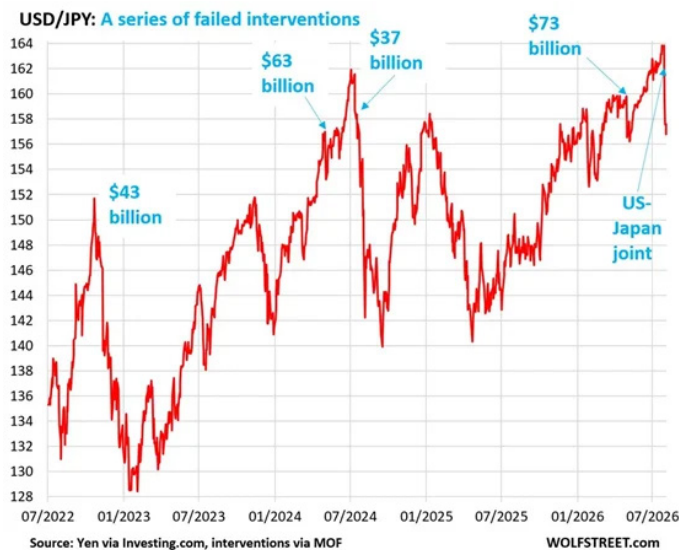
Rhine water levels are hitting record lows



Source: Bloomberg

Market Spotlight: JPY Intervention, will it hold?

- FX vol has been dead for a while, truncating the opportunity-set for Global Macro traders. Contributing to the low vol in FX is the ongoing approach of global policy makers to prioritize market stability.
- The late July/early August joint action by the US Treasury and Japanese Ministry of Finance was the first coordinated action since 1998. Roughly \$70b to \$90b was deployed across consecutive trading sessions to combat the yen's near 40-year low of 164 per dollar.
- The initial price action signaled a success with USD/JPY moving to 155, but the cross has since retraced a large portion of the move.
- The Japanese government finds themselves in a difficult situation moving forward as the BoJ has limited firepower because they cannot aggressively raise rates since this would leave their massive sovereign debt service unsustainable. Further pressuring the yen is the current government's fiscal expansion plans.
- Japan is clearly deemed "too big to fail", but when will the market pressures overwhelm policy tools? Global Macro investors remain active in monitoring and positioning for this possibility, but so far the policy makers remain in control.



Canada, the land of lakes

- Canada is a freshwater powerhouse with an almost unimaginable number of lakes. Between 880,000 and 2 million lakes exist depending on how you count them—roughly 8 to 9 times more than the United States.
- Quebec had to name an almost unimaginable number of lakes using exclusively French, so officials got particularly creative, sometimes utterly absurd.
- **Quebec's Single Letters & Musical Notes:** Lakes named A, B, C (and other letters), with some shaped like their names. About five lakes called "Ré," four called "Do," and three called "Fa."
- **Hilariously Descriptive Names:** "Lac On-Dîne" (Lake On-Dinner), "Lac J'En-Peux-Plus" (Lake I-Can't-Take-It-Anymore), "Lac Pas d'Eau" (No Water Lake).
- **No Name Lakes:** About 20 lakes officially named "Sans Nom" (No Name)—defeating the purpose by actually naming them.
- **The Literal Lake Names:** "This Lake," "That Lake," "The Other Lake" (adjacent lakes in Ontario), "Wrong Lake," "Dead Dog Lake," "Another Lake," "And Another Lake," "Mud Lake," "Long Lake."
- **Notable Newfoundland Lake Names:** "Spread Eagle Bay," "Tickle Cove," "Conception Bay," "Come By Chance," "Blow Me Down," "Ass Rock," "Ass Hill."





Disclaimer

This material has been prepared and distributed by MASTERPIECE ADVISORS for informational purposes only and should not be construed as legal, accounting, tax or other professional advice. You should consult with your own independent legal, accounting, tax and other professional advisors before taking any action on the basis of this information.

This material should not be construed as an endorsement, advice or recommendation by MASTERPIECE ADVISORS about investing in hedge funds generally or in any particular hedge fund strategy. It is for your general information only and we are not soliciting any action based upon it. It does not take into account your particular investment objectives, financial situation or needs. Investments in hedge funds are speculative, involve a high degree of risk, and are illiquid. Hedge funds may be highly leveraged and their performance can be volatile. You could lose all or a substantial amount of any investment you make in a hedge fund. You are solely responsible for performing such due diligence as you may deem appropriate, including consulting your own legal, tax and investment advisors, and any information provided by MASTERPIECE ADVISORS shall not form the primary basis of any investment decision you may make.

The information provided in the material is based upon sources believed to have been reliable by MASTERPIECE ADVISORS only as of the date indicated, but MASTERPIECE ADVISORS has not taken any steps to verify the accuracy or completeness of the information. Neither MASTERPIECE ADVISORS nor any of its officers, employees, agents, affiliates or advisers make any representation or warranty as to the accuracy or completeness of the material or are under any obligation, express or implied, to update the information to correct any inaccuracies it may contain or to reflect any changes that may occur in the future. MASTERPIECE ADVISORS has or may develop a business or client relationship with you, which may have an investment advisory or discretionary aspect to it ("Advisory Relationship"). Any information or material accompanying this disclaimer is not being, and shall not be deemed under any circumstances to be, provided to you as part of such Advisory Relationship. In addition, unless expressly agreed to the contrary in writing, MASTERPIECE ADVISORS shall be under no obligation as a result of such Advisory Relationship to provide you with any advice or recommendations in connection with the accompanying material or any further information or material relating to any particular fund or manager referenced therein.

This material is confidential and may not be disclosed to any person other than the intended recipient without the express written approval of MASTERPIECE ADVISORS. No part of this material may be (i) copied, photocopied, or duplicated in any form, by any means or (ii) redistributed, without MASTERPIECE ADVISORS' prior written consent.

© Copyright 2026 MASTERPIECE ADVISORS All rights reserved.

Masterpiece Advisors
1345 Avenue of the Americas
New York, NY 10105
Ph: 646-992-4319